

Use of swaps

- main uses
- risk management (match R + L)
 - ↓ cost of borrowing
 - swap exposure to different asset classes without disturbing underlying

Risk management

Reduce risk → match R + L

Disadvantages of currency swaps

FULL CCP

- extra cost → bid-offer spread
- remove possibility of favourable currency movements (market risk)
- counterparty credit risk
- difficulty to hedge unknown future income
- only easily hedge level income stream
- only available on large principal amounts
- mismatch real L by eliminating purchasing power parity protection against unexpected inflation differentials

Swap long term → vs forward agreement

∴ hedge long-term liabilities

PV01: represents change in value of a stream of fixed payments under 1 bps move in int rate

- NOT capture risks such as time or -ive convexity

Reducing cost of borrowing

comparative advantage → companies' relative credit ratings are different in long-term + short-term debt market

risks < market risk → market conditions change ∴ PV of net outgo under contract increases
credit risk → default on payments

currency swaps

Exposed to < variation in ER
variability in returns of underlying investment

Inflation swaps

Exposed to < variations in expectations on future inflation
long-dated → market risk

- real rate swap → returned CF match @ of scheme

- synthetic index-linked bond → CF mirror proceeds from notional part of index-linked gilts

CHAPTER 23: PORTFOLIO MANAGEMENT

Futures

- main uses
- hedging - ↓ market risk
 - speculating - ↑ returns @ risky
 - arbitrage - ↑ profits
 - portfolio (transition) management
 - synthetic index

Hedging

take position in future that is opposite to position in cash market

protect < fall in equity market
rise in bond yields

risks < basis risk → price of future follows cash price closely, basis may not move exactly as expected
cross hedge risk → if actual assets differ from those underlying the future

Transition management

PORTFOLIO → PORTFOLIO → costly
- management
- admin
- tax
- price impact
- bid-offer
- brokerage commission

- sub-optimal - new optimal
why? change in liabilities

swap risks < credit risk
lack of marketability

Im with swaps

'overlay' strategies → 'closed out'

⊗ temporary measure to alter nature of port

- obtain international diversification
- change nature and/or duration of fixed interest portfolio
- alter portfolio structure on medium term basis → cash market deals don't take place + swap in place until next restructure decision
- obtain immediate re-allocation of funds between different asset categories → unwound as cash market deals are made

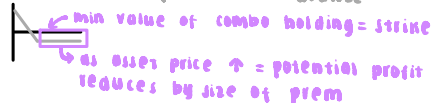
Use of Options



Hedging

1. protect against fall in the market

BUY a put = portfolio insurance



2. protect against rise in the market

BUY a call



- it expects cash inflow - don't want to invest at high prices

3. protect against int rate changes

BUY put $\rightarrow$ cap on int rate paid $\rightarrow$ for int rate borrowing

collar $\rightarrow$ BUY put + SELL call

Income enhancement

covered $\rightarrow$ writer holds opposite position in underlying

naked $\rightarrow$ writer does not hold opposite in underlying

call $\leftarrow$ covered

naked $\rightarrow$ write on what don't own

- unlimited loss

put - naked $\rightarrow$ limited loss to $K - 0$

Speculation

risky $\leftarrow$ $\checkmark$ hedge funds
 $\times$ pensions or insurers

- directional spread $\leftarrow$ rise - buy call
fall - buy put
- straddle
- butterfly

Currency Hedge

currency of investments $\neq$ currency of liabilities

Forward $\rightarrow$ if expect proceeds from foreign investment, then
SELL currency forward

- protected from depreciation

COSTS

- remove possibility from appreciation

- bid/offer spread usually higher than spread on spot market transaction

Limitations of currency as an asset

Investor with L in domestic currency

- invest majority in domestic A

- invest minority in overseas A + most or all of currency risk hedged

- rarely invest in domestic A + speculate using forward currency deals

Practical problems with forwards

- investments of longer term than contracts available in the market

$\therefore$ roll over forward contract at unknown rate

- dealing costs are low

may be significant when hedge small amount

Derivative Reporting

MICE

Avoid risk → appropriate reporting on exposure

- list derivatives individually
- value at market value
- include additional explanations to ensure fund exposure is understood

make clear if exposure has changed + what associated economic exposure is

pure futures to extend time

- sell + buy when favourable
- selection
- tax delay (good year)

or immediate change

changing strategic asset allocations

MILC

Problems with large changes

- possibility of shifting mp
- time need to effect + difficulty in making sure time of deal is advantageous
- dealing costs involved
- possibility of crystallisation of CG tax → tax liability

Costs + Benefits

No such thing as a free lunch!

- immediate costs + benefits
- changes in risk profile
- operational work involved in implementing solution

JICS

Dealing in the cash market

Transaction costs reduced by:

- implement transaction in stages rather than attempting immediately
- investigate whole exchanges between old + new managers
- investigate crowding, investment bank looks among clients for buyers + sellers of stock
- use investment of CF as way of rebalancing the portfolio

Definitions:

• Hedging	Take position in the future that is opposite to position in cash market - reducing risk
• Basis risk	Basis not moving as expected although price of future follows cash price closely
• Cross hedging risk	Asset underlying future not the same as asset needing to be hedged
• Arbitrage	Simultaneously taking equal opposite positions in related instruments when prices are out of line with aim of making risk-free profit
• Covered	Position of writer who holds opposite position in underlying asset
• Naked	Position of writer who does not hold the opposite position in the underlying asset
• Share exchange	Process between old + new managers involving transferring a holding between the fund management company that originally managed the fund + the fund management company that is taking over the fund

• crossing	problem where large investment bank that has large fund manager clients, talks to a selection of its clients about some of the stocks that the new manager wishes to dispose of